

GLOSSARY (GLO)

*In this document underlining indicates new text and striking through indicates deleted text.



1. INTRODUCTION

1.1 Application

1.1.1 This Rulebook ("GLO") applies to every Person to whom any of the Rulebooks apply.

1.2 Defined Terms

1.2.1 In the Rulebooks:

- (1) a word or phrase which is defined in GLO is a defined term and has the meaning given in GLO; and
- (2) a word or phrase which relates to a defined term must be interpreted accordingly.

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Defined Terms	Definitions
<u>Fiat-Referenced Token</u>	<u>Has the meaning given in section 258 of FSMR.</u>
Relevant Money	<u>Means:</u> <u>(a) Means—sums received from or for the benefit of a Payment Service User in the course of the execution of a Payment Transaction, whether held on behalf of a Payment Service User in a Payment Account or exchanged for a Payment Instrument or Stored Value, or sums received from a Payment Service Provider for the execution of a Payment Transaction on behalf of a Payment Service User; or</u> <u>(b) where the Authorised Person has issued a Fiat-Referenced Token:</u> <u>(i) proceeds earned from the issuance of a Fiat-Referenced Token;</u> <u>(ii) interest or other gains earned from the holding of Reserve Investments; or</u> <u>(iii) proceeds earned from the sale of Reserve Investments.</u>
<u>Reserve Account</u>	<u>Means an account established with:</u> <u>(a) an Authorised Person which is authorised under its Financial Services Permission to Provide Custody; or</u> <u>(b) a Third-Party Agent located outside ADGM,</u> <u>which is intended to hold Reserve Investments.</u>
<u>Reserve Assets</u>	<u>Means:</u>

Defined Terms	Definitions
	(a) <u>Relevant Money arising from undertaking the Regulated Activity of Issuing a Fiat-Referenced Token; and</u> (b) <u>Reserve Investments.</u>
<u>Reserve Investments</u>	<u>Means:</u> (a) <u>cash equivalents and debt securities with up to three-month residual maturity issued by:</u> (i) <u>the government or central bank of the jurisdiction of the fiat currency to which the Fiat-Referenced Token is referenced; or</u> (ii) <u>organisations that are of both a governmental and an international nature of Credit Quality Grade 1 for CR Exposures;</u> (b) <u>money-market funds which invest in government debt, subject to Regulator-approved:</u> (i) <u>limits on the value of Reserve Investments to be held in such funds; and</u> (ii) <u>credit ratings of such funds; and</u> (c) <u>overnight reverse repurchase agreements overcollateralised by debt securities issued by a government or central bank of pegged currency, with a counterparty that is not affiliated with the issuer and is of strong financial standing.</u>
Safe Custody Asset	<u>Means:</u> (a) <u>Means a designated Client Investment, which is not the property of the Authorised Person, which is held or to be held for safekeeping by an Authorised Person or Third-Party Third-Party Agent; or</u> (b) <u>a Reserve Investment.</u>
Third-Party Agent	Means, in relation to a Client Account <u>or a Reserve Account</u>, a Financial Institution including a bank, custodian, an intermediate broker, a settlement agent, a clearing house, an exchange and “over-the-counter” counterparty acting in the capacity of a third party agent.